EXECUTIVE SUMMARY

1. Introduction

The Municipality of Sanchez Mira is a third class municipality located in the northwestern part of the province of Cagayan. It was formerly known as Malolokit, a visita of Pamplona but separated from its matrix and became an independent municipality by authority of a Royal Decree dated September 14, 1894. It consists of eighteen (18) barangays with 19,880 hectares or 198.8 square kilometers.

The audit covered the accounts and operations of the Municipal Government of Sanchez Mira, Cagayan for the year 2014 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Sanchez Mira for the year ended December 31, 2014, with comparative figures for CY 2013, are as follows:

	2014	2013	Increase (Decrease)
Financial Condition			
Total Assets	P143,505,488.68	P 127,194,914.54	P16,310,574.14
Total Liabilities	46,469,339.49	36,022,779.44	10,446,560.05
Total Government Equity	97,036,149.19	91,172,135.10	5,864,014.09
Results of Operation			
Total Income	P 76,486,145.44	P 68,510,815.92	P 7,975,329.52
Total Expenses	56,428,361.73	58,601,030.71	(2,172,668.98)
Appropriations, Allotments and Obligations			
Appropriations	P 118,958,514.24	P 104,071,801.17	P 14,886,713.07
Allotments	118,958,514.24	104,071,801.17	14,886,713.07
Obligations	73,155,933.74	70,372,039.99	2,783,893.75

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2014	2013	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	0.00	0.00	0.00
Due from GOCCs	0.00	0.00	0.00
Due from LGUs	0.00	0.00	0.00
Due from NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
TOTAL	0.00	0.00	0.00
Fund Received from Other Agencies:			
Due to Other NGAs	P 5,251,611.96	P 0.00	P 5,251,611.96
Due to LGUs	13,047,685.84	20,983,110.77	(7,935,424.93)
Due to NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
TOTAL	**P 18,299,297.80**	**P 20,983,110.77**	**P (2,683,812.97)**

Operational Highlights

Major Activities/Programs/Projects	***Target***	***Accomplishments***	***% of Accomplishments***
1 Continuation on the concreting of Mabini St.	P 2,000,000.00	P 1,937,502.40	100%
2 Partialconcreting of Rico St. (bet. Bonifacio&Cacatian St.)	1,000,000.00	968,070.00	100%
3 Concreting of proposed parking area at the eastern side of Public Market	300,000.00	299,672.09	100%
4 Concreting of Multi-purpose pavement of Balicat St. at Brgy. Santor	150,000.00	149,814.62	100%
5 Construction of lined canal w/ drainage curvert along Bonifacio St., Centro 2	150,000.00	149,500.00	100%

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Sanchez Mira, Cagayan as of December 31, 2014 due to (a) the recorded balances of Property, Plant and Equipment (PPE) with a total value of P56,493,295.06 were doubtful due to the failure to complete the physical count and reconcile the same with the books; (b) the unserviceable properties are still recorded under the PPE account with a net book value of P7,322,464.16 instead of Other Assets account; and (c) RPT/SET Receivables amounting to P22,622,609.82 could not be ascertained for lack of certified list of taxpayers and subsidiary ledgers indicating the corresponding amount due and collectibles.

4. Summary of Significant Findings and Recommendations

For CY 2014, the municipality of Sanchez Mira thru the leadership of Honorable Asela B. Sacramed and the members of the Legislative Body and Executive Staff, is one of the recipients of the CY 2014 Good Financial Housekeeping, a core area of the Seal of Good Local Governance.

However, the audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality;

1. **The validity, propriety and existence of the municipality's property, plant and equipment amounting to P56,493,295.06, remained doubtful due to the failure of the municipality to complete the physical count and reconcile the same with the books contrary to 124, Volume I of the Manual on the New Government Accounting Manual.**

   We reiterated our previous year's audit recommendation that:

   1. Management requires the inventory committee to complete the physical count of the properties and to undertake the activity annually.

   2. The General Services Officer to maintain and update property records, property ledger cards and the Acknowledgement Receipts of Equipment (ARE).

   3. The Municipal Accountant and the General Services Officer to have a periodic reconciliation of the property records and make the necessary adjustments to ensure that the PPE accounts are fairly presented in the financial statements.

2. **Unserviceable properties with a net book value of P7,322,464.16 are recorded as Property, Plant & Equipment instead of Other Assets account contrary to**

Section 4, Volume 1 and Section 140, Volume III of NGAS Manual for LGUs thus, resulting in the overstatement of the PPE accounts as of December 31, 2014. Further, these properties remained undisposed as of this date contrary to Section 79 of PD 1445 and Sections 165-166 of COA Circular 92-386.

We recommended that the accounting office transfer the unserviceable PPE totaling P7,322,464.16 to other assets accounts for a fairer presentation of the PPE accounts in the financial statement.

Further, create appraisal committee to conduct appraisal of the unserviceable properties and indicate the appraisal in the Inventory and Inspection Report for Unserviceable Properties (IIRUP) and for proper evaluation by the Auditor.

3. **The Real Property Tax and Special Education Tax Receivables totalling P22,622,609.82 could not be ascertained for lack of certified list of taxpayers, indicating the corresponding amount due and collectible and the subsidiary ledgers, contrary to Section 20, Volume I of the New Government Accounting System (NGAS).**

   We reiterated our previous year's recommendation that management direct the concerned officials to:

   1. Comply strictly with the provision of Section 20, Volume I of the NGAS (for LGUs) regarding the basis of recording RPT/SET Receivable;

   2. Prepare certified list of taxpayers based on the Assessment Roll prepared by the Municipal Assessor and;

   3. Maintain subsidiary ledger for each taxpayer.

4. **Real Property Tax and Special Education Tax Receivables totaling P22,622,609.82 had remained uncollected and outstanding in the books of accounts, hence depriving the municipality of additional resources to support its various projects, programs and activities.**

   We recommended that the Local Chief Executive, as well as the Sangguniang Bayan Members, adopt measures to collect from delinquent taxpayers. Collection system and tax campaign should be strengthened and intensified to eliminate and/or minimize tax delinquencies Additional collections on real property tax shall be used to augment additional projects/programs that will benefit the Local Government Unit.

5. **Lack of internal control on the receipt and disposition of construction materials purchased for infrastructure projects undertaken by administration resulted to missing and or/lost of construction materials.**

Likewise, non-monitoring of accomplishment resulted to non-installation of construction materials.

We recommended that the municipality devise control measures to strengthen the existing system on the delivery, receipt and issuance of construction materials to ensure maximum and efficient utilization of government resources and to prevent or forestall manipulation and commission of irregularities. If warranted, the municipality should put up a stockroom for the procured supplies and materials.

For the uninstalled construction materials, exert effort to locate the same otherwise, the same will be disallowed in audit.

5. Summary of Total Suspensions, Disallowances and Charges as of year-end

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	
Disallowances					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	
Charges					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	

6. Status of Implementations of Prior Years' Audit Recommendations

Out of seven (7) audit recommendations in 2013 Annual Audit Report (AAR), two (2) were fully implemented, four (4) were partially implemented, and one (1) was not implemented. The Status of Implementation of Prior Year's Audit Recommendations is shown in part III of this report.